

Sport Store Sales Performance Report

Fiscal Year 2015

1. Executive Summary

This report analyzes full-year 2015 sales performance for a retail sport store business. The objective is to evaluate revenue drivers, profitability structure, product performance, market contribution, and time-based sales behavior to support strategic decision-making.

Key Financial Results (2015)

- **Total Sales:** \$22.3M
- **Total COGS:** \$20.1M
- **Gross Profit:** \$2.3M
- **Gross Margin:** 10.1%
- **Total Quantity Sold:** 69,820 units

The company operates under a **high-volume, low-margin retail model**, where cost control plays a critical role in profitability.

2. Product Performance Analysis

Revenue vs Profit by Category

- **Bikes**
 - ~\$11.5M in sales (highest revenue driver)
 - Very low margin (~3%)
 - Sales and COGS are nearly equal
- **Accessories**
 - ~\$7.4M in sales
 - Highest margin (~18.6%)
 - Strongest profit contributor relative to size
- **Clothing**
 - ~\$3.4M in sales
 - ~15.9% margin
 - Stable profitability

Key Insight

Revenue concentration does not equal profit concentration.

Although Bikes generate the most revenue, Accessories contribute significantly more profit relative to sales.

Improving Bike margins or shifting sales mix toward higher-margin products could significantly improve overall profitability.

3. Cost Structure Analysis (Sales vs COGS)

Total COGS accounts for the majority of total sales, resulting in a 10.1% overall margin.

Particularly in the Bike category, cost levels are extremely high relative to revenue, creating margin pressure.

Strategic Implication

Small cost reductions in high-volume categories (especially Bikes) would have a meaningful impact on total profit.

Potential actions:

- Supplier renegotiation
 - Pricing adjustments
 - Product mix optimization
-

4. Market Performance

Sales by Country

- United States is the dominant market (~\$10.4M in sales)
- United Kingdom, Germany, and France contribute significantly less

Key Insight

The business is heavily dependent on the US market, increasing geographic concentration risk. Market diversification could reduce exposure and increase stability.

5. Customer Demographic Insights

Sales by Age Group

- 35–55 (Core Earners) contribute the highest revenue
- 25–34 Adults are the second strongest segment
- Younger (17–24) and 55+ groups contribute less

Sales by Gender

- Nearly evenly distributed between Male and Female customers

Key Insight

The primary revenue driver is working-age professionals (25–55). Marketing and product strategies appear well-aligned with this segment.

6. Time-Based Performance Analysis

Monthly Trend

- Sales steadily increased during the first half of 2015
- Strong acceleration mid-year **July**
- Peak performance occurred in Q4
- December shows the highest revenue month

Key Insight

The business demonstrates strong seasonality, with Q4 being the most profitable period. Revenue growth does not always translate proportionally into profit growth due to cost fluctuations.

Higher sales volume improves profit performance, indicating operational leverage effects.

7. Underperforming Products

Certain SKUs generate low revenue and low profit contribution (e.g., gloves, bike stands, racks, cleaners, socks).

Potential Actions

- Repricing strategies
- Promotional bundling

- Inventory rationalization
 - Product discontinuation evaluation
-

Overall Business Assessment

The company is:

- High-revenue
- High-volume
- Low-margin
- Cost-sensitive
- Heavily dependent on Bikes and the US market

Profit growth opportunities include:

1. Improving Bike category margins
2. Increasing Accessories sales mix
3. Optimizing cost structure
4. Leveraging high-performing demographic segments
5. Managing seasonal demand more strategically